**IN THE NATIONAL COMPANY LAW TRIBUNAL**
**AHMEDABAD BENCH – 2**

**CP (CAA) NO. 61/AHM/2022**
**In**
**CA (CAA) NO. 40/AHM/2022**

[Under Sections 230 -232 and read with Section 66 of the Companies Act, 2013 read with The Companies (Compromises, Arrangements and Amalgamations) Rules, 2016]

**In the matter of the Scheme ofArranegemt in the nature of De-merger**

**OF**

**M/s. GHCL Limited**
(Demerging Company/Petitioner No.1)

**WITH**

**M/s. GHCL Textiles Limited**
(Resulting Company/ Petitioner No. 2 )

**AND**

**Their Respective Shareholders and Creditors**

**Order Pronounced on: 08/02/2023**

**CORAM:**
**DR. DEEPTI MUKESH,**
**HON'BLE (MEMBER (JUDICIAL)**

**AJAI DAS MEHROTRA,**
**HON'BLE MEMBER (TECHNICAL)**

## MEMO OF PARTIES

**M/s GHCL Limited**
(CIN: L24100GJ100GJ1983PLC006513),
A company incorporated under the Companies Act,1956
having its Registered Office at GHCL House,
Opp. Punjabi Hall, Navrangpura, Ahmedabad,
380009, Gujarat

**… Demerging Company/ Petitioner No.1**

**M/s. GHCL Textiles Limited**
(CIN: U18101GJ2020PLC114004)
a company incorporated under the Companies Act, 2013
and having its registered office at GHCL House,
Opposite Punjabi Hall, Navrangpura,
Ahmedabad, Gujarat, 380009

**…Resulting Company / Petitioner No. 2**

**Appearance:**

**For the Petitioners:** Ms. Swati Soparkar, Adv.
**For the Regional Director:** Mr. Shiv Pal Singh, Asst. Director
**For Income Tax:** Ms. Pankti Shah, Adv.

## ORDER

1. This joint Company Petition is filed under Section 230 - 232 of the Companies Act, 2013 (for brevity **the Act**) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for sanctioning the Scheme of Arrangement in the nature of De-merger of the Spinning Division of M/s. GHCL Limited (hereinafter referred to as '**De-merging Company'**) into M/s. GHCL Textiles Limited

(hereinafter referred to as **'Resulting Company')** and their respective Shareholders and Creditors with effect from the appointed date as mentioned in the Scheme.

2. From the records, it is seen that the De-merging Company is a listed public limited company and its shares are listed on the National Stock Exchange India Limited (NSE) and the BSE Limited (BSE). In compliance with the applicable SEBI guidelines and applicable circulars, the said Company submitted the Scheme to the aforesaid stock exchanges for the requisite approval. Both the stock exchanges have vide their respective Observation letters dated 3rd March 2022 approved the proposed Scheme of Demerger. The Petitioner Companies also obtained approval from the Competition Commission of India vide its order dated 24th March 2022. The above approvals /NoCs were already placed on record before this Tribunal during the 1st motion application.

3. It is further seen from the records, that the first motion joint application sought directions to convene meetings of Equity Shareholders and Unsecured Creditors of the De-merging Company and sought directions for dispensation of the meeting of Secured Creditors of the De-merging Company in view of the consent letters on affidavits from all the

Secured Creditors. Further directions were sought for dispensation of the meeting of Equity Shareholders of the Resulting Company and in view of there being no Secured and Unsecured Creditors, no directions were required. The said application was allowed vide order dated 27th June 2022 and rectification order dated 5th July 2022 with directions to issue notices to concerned Statutory and/or Regulatory Authorities. The Petitioner Companies filed an affidavit of service of notices to the Regulatory and/or Statutory Authorities.

4. In compliance with the directions for convening the meetings, the Chairman appointed for the said meetings has filed his reports for the results of said meetings along with an affidavit dated 25th August 2022.

5. The Petitioner Companies have filed a 2nd motion joint petition on 1st September 2022 within the time prescribed, which was admitted with directions for publication of notice of hearing, i.e., 20.10.2022 in the newspapers, **'Gujarat Samachar'** in Gujarati and in the English language **'Indian Express',** both Ahmedabad editions. Notices were issued informing the date of hearing to the statutory authorities. The Petitioner Companies have filed a compliance affidavit regarding the paper publication and proof of service of notices.

6. The Regional Director, North Western Region, MCA and RoC, Ahmedabad have filed a common report with the following observations /directions:

(i) To comply with the provisions of Section 61 of the Act.

(ii) Section 232 (3)(i) provides only for the transfer of authorised capital on the dissolution of the Transferor Company and does not provide for the transfer of part of the Authorised Capital of the De-merged Company to the Resulting Company. There is no provision in the Companies Act to reduce the authorised capital of one company & transferring the same to some other company.

(iii) To comply with the SEBI circular for the De-merging Company being a listed company.

(iv) To comply with FEMA Rules and RBI guidelines.

(v) To comply with Section 2 (19 AA) of the Income Tax Act.

(vi) Discrepancy pointed out by Registrar of Companies with regard to the number of Secured Creditors in the Demerging Company and compliance for creation and satisfaction of Charges.

(vii) To pay the legal fees/expenses of the office of the RD for submitting this report.

No representation/observations have been filed by RBI, Stock Exchanges and SEBI for any of the Petitioner Companies.

7. The Income Tax Department filed the reports and submitted that no demand is outstanding against the Resulting Company, whereas in the case of the De-merging Company, there are outstanding dues for different Assessment Years, which are the subject matter of Appellate Proceedings.

8. The Petitioner Companies have filed a common additional affidavit dated 25th November 2022 in response to the representations of the Regional Director, Registrar of Companies as well as the Income Tax Dept with the following undertakings and explanations hereinbelow:

   (i) As per clauses 6.1 and 6.2 of the proposed Scheme, part of the Authorised Capital of the Demerging Company is envisaged to be transferred and consolidated with the Authorised Capital of the Resulting Company, which shall have sufficient Authorised Capital for the said purpose. In view of the same, it will not be necessary for the Resulting Company to increase its Authorized Capital in compliance with the provisions of the Act, in this regard.

   (ii) That there is no provision of law restricting the transfer of part of the Authorised Capital of the De-merging Company to the Resulting

Company. Under the same principle of transfer of Authorised Capital along with the transfer of Undertaking to the Transferee Company, the transfer of part of the Authorised Capital of the De-merging Company is permissible along with the transfer of the part of the undertaking to the Resulting Company. Further reliance is placed on several orders passed by NCLT, Ahmedabad Bench granting such transfer of Authorised Capital.

(iii) The De-merging Company has confirmed that in compliance with the applicable Master Circular No. SEBI/HO/CFD/DIL1/CIR/P/ 2021/ 0000000665 dated 23rd November 2021 of SEBI, the prior approval of the concerned stock exchanges viz. BSE and NSE were duly obtained in form of an observation Letter dated 3rd March 2022 received from BSE Limited and National Stock Exchange of India Limited respectively, which are already placed on record in the first motion application. The Petitioner Companies has further undertaken to comply with all the requirements under the applicable circulars of SEBI for implementation of the Scheme as and when sanctioned by the Hon'ble Tribunal.

(iv) The De-merging Company has confirmed compliance with FEMA Regulations and RBI guidelines with regard to its Foreign/NRI

shareholders and the Resulting Company has undertaken to make requisite compliances while implementing the Scheme.

(v) Compliance with Section 2 (19 AA) of the Income Tax Act is already envisaged under the Scheme vide para 12.13 of the Scheme.

(vi) The De-merging Company has regularly filed the requisite details for the creation and satisfaction of the charges from time to time in compliance with the applicable provisions of the Companies Act, 2013. However, a detailed clarification and explanation have been provided with regard to the status of Secured Creditors and existing charges in favour of them.

(vii) That the De-merging Company, as per pending appellate proceedings, has undertaken that as and when the said demands are finally crystalised, it will be liable for making payments for the same. The representative of the Income Tax department has confirmed no objection regarding the scheme. Both the Petitioner Companies have undertaken to abide by all the applicable provisions of the Income Tax Act.

9. During the course of the hearing, the learned counsel for the Income Tax Department, Ms. Pankti Shah and Mr. Shiv Pal Singh, Assistant Director from the Regional Director's office stated that the respective

departments do not have any objections if the scheme is approved, as recorded in the daily order dated 20.12.2022.

10. The certified copies of respective Board Resolutions of both the Petitioner's Companies approving the Scheme of Amalgamation are annexed. An affidavit is filed by Mr. Bhuwneshwar Mishra, being authorized signatory of both the Petitioner Companies. The Petitioner Companies have filed their respective audited financial statements as on 31st March 2022, which are annexed with the Petition.

11. The valuation report confirming the proposed Entitlement Ratio of Equity Shares certified by the Registered Valuer dated 06.12.2021 and the Fairness Opinion in form of a certificate issued by the Merchant Banker dated 06.12.2021 is placed on record in the 1st motion application.

12. In compliance with the proviso to sub-section (7) of Section 230 of the Companies Act, 2013, both the Petitioner Companies have placed on record the certificates of the respective statutory auditors confirming that the proposed Scheme of Demerger is in compliance with the applicable accounting standards as per Section 133 of the Companies Act, 2013. The List of Assets of the Demerging Spinning division Undertaking is filed by way of an affidavit.

13. The Petitioner Companies submitted that there are no proceedings/investigations pending against the Petitioner Companies under Sections 235-251 of the Companies Act,1956 or Sections 210-227 of the Companies Act, 2013. Also, no winding up proceedings and /or petitions under the Insolvency and Bankruptcy Code are pending against any of the Petitioner Companies.

14. Heard submissions and perused documents placed on record. Considering the approval accorded by the members and creditors of the Petitioner Companies to the proposed Scheme, and the no objection given by the statutory/regulatory authorities, it appears that the requirements of the provisions of sections 230 and 232 are satisfied by the Petitioner Companies. It seems that the proposed Scheme of Arrangement is in the interest of the shareholders and creditors. Therefore, the petition is allowed and the Scheme envisages the de-merger and transfer of the Spinning Division of GHCL Limited, to GHCL Textiles Limited, the Resulting Company is hereby sanctioned. It is declared that the said sanctioned scheme shall be binding on the Petitioner Companies and their shareholders, creditors and all concerned under the scheme.

15. Notwithstanding the above, if any deficiency is found or, the violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioners.

16. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any manner granting exemption from payment of stamp duty, or taxes including income tax, GST etc., or any other charges or payment in accordance with the law, or any kind of waiver in respect of any permission/compliance with any other requirement which may be specifically required under any law.

17. **The Scheme is sanctioned with the following directions:**

i. The Scheme of Arrangement as annexed herewith as **"Annexure A"** is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their Shareholders, Creditors and all concerned under the Scheme.

ii. All the Assets mentioned in the list of Assets annexed at **"Annexure B"** along with liabilities, duties, rights and powers of the De-merging Undertaking viz. Spinning Division as specified in the schedule hereto and all the other properties, rights and powers relatable to De-

merging Undertaking, be transferred without any further act or deed to the Resulting Company and accordingly the same shall, pursuant to Section 232 of the Act, vest in the Resulting Company for all the estate and interest of the De-merging Spinning Division of the Company, therein but subject nevertheless to all charges now affecting the same, if any.

iii. The shares of the Resulting Company held by the De-merging Company shall stand cancelled and extinguished as envisaged under Clause 7.2.4 of the Scheme. However, new shares of the Resulting Company shall be issued and allotted to all the shareholders of the De-merging Company in the following ratio:

"1 (One) equity share of the Resulting Company of face value of Rs. 2 each fully paid shall be issued for every 1(One) equity share of Rs. 10 each fully paid held in the Demerging Company."

iv. The equity shares issued by the Resulting Company shall be listed and admitted to trading on the Stock Exchanges i.e. NSE and BSE, pursuant to this Scheme and in compliance with the applicable regulations and the applicable SEBI circulars. The Resulting Company shall make all requisite applications and shall otherwise comply with the provisions of the SEBI circular and Applicable Laws

and take all steps to procure the listing of the equity shares as issued under the Scheme issued by it, as envisaged under Clause 5.9 of the Scheme.

v. All proceedings, if any, now pending by or against the De-merging Company pertaining to Spinning Division, be continued by or against the Resulting Company.

vi. All workers/employees of the De-merging Spinning Division undertaking shall be deemed to become the workers /employees of the Resulting Company with effect from the Effective Date, and shall stand absorbed in the Resulting Company in accordance with the Scheme without any interruption of service and on terms and conditions not less favourable than those on which they are engaged by the De-merging Company, as on the Effective Date.

vii. The Petitioner companies within thirty days of the date of receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the entire Spinning Undertaking of the De-merging Company shall stand transferred to the Resulting Company and the Registrar of Companies shall place all documents relating to the said De-merging Undertaking of the De-merging Company into

the file kept by him in relation to the Resulting Company and the files relating to the said two companies shall be treated accordingly.

viii. All concerned Authorities to act on a copy of this order along with the Scheme authenticated by the Registrar of this Tribunal who shall issue the certified copy of this order along with the Scheme immediately.

ix. The Petitioner Companies are directed to lodge a copy of this Order and the approved Scheme along with the List of Assets of the Spinning Undertaking of the De-merging Company attached at **Annexure-B** with this order, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, within 60 days from the date of the Order.

x. The Petitioner Companies are further directed to file a copy of this order along with a copy of the Scheme with the concerned Registrar of Companies, electronically, along with e-form INC-28 in addition to a physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

xi. The legal fees and expenses of the office of the Regional Director are

quantified at Rs. 10,000/ in respect of both the petitioner companies. The said fees to the Regional Director shall be paid by the Resulting Company.

xii. Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

xiii. The Petition is allowed and disposed of, in terms of the above order.

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**AJAI DAS MEHROTRA**
**MEMBER (TECHNICAL)**

**DR.DEEPTI MUKESH**
**MEMBER (JUDICIAL)**

**RAHUL/LRA**

Annexure - "A"

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**SCHEME OF ARRANGEMENT**

**BETWEEN**

**GHCL LIMITED**

**(*DEMERGED COMPANY*)**

**AND**

**GHCL TEXTILES LIMITED**

**(*RESULTING COMPANY*)**

**AND**

**THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS**

[Under Sections 230 To 232 read with Section 66 of the Companies Act, 2013 read with Rules made thereunder]

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**PREAMBLE TO THE SCHEME OF ARRANGEMENT**

**Background and Rationale for the Scheme of Arrangement:** 103

1. GHCL Limited (**'Demerged Company'** or **'GHCL'**) is a public limited company incorporated under the Companies Act, 1956, and having its registered office at GHCL House, Opposite Punjabi Hall, Navrangpura, Ahmedabad, Gujarat-380009. Its Corporate Identity Number (**'CIN'**) is L24100GJ1983PLC006513 and Permanent Account Number (**'PAN'**) is AAACG5609C. The Demerged Company was originally incorporated (and commenced business) on October 14, 1983 under the name Gujarat Heavy Chemicals Limited. The name of the Demerged Company was subsequently changed to GHCL Limited on November 21, 2003. The equity shares of the Demerged Company are listed on the BSE Limited and the National Stock Exchange of India Limited.

   The Demerged Company is engaged in the business of (i) manufacture and sale of inorganic chemicals (including but not limited to Soda Ash (Dense grade and Light grade), Sodium Bicarbonate, Industrial Salt and Consumer Products) (**'Chemical Business'**) (ii) Yarn manufacturing, spinning of yarn and other ancillary materials from its factory/plant situated at Madurai and Manaparai Tamil Nadu (**'Spinning Division'**) (ii) manufacture and sale of home textiles products (including but not limited to weaving, processing, cutting and sewing of home textiles products) from its factory/plant situated at Valsad, Gujarat (**'Home Textiles Business'**) - collectively referred to as '**Business**'.

2. GHCL Textiles Limited (**'The Resulting Company'** or **'GHCL Textiles'**) is a Public Limited Company incorporated under Companies Act, 2013 having its registered office at GHCL House, Opp. Punjabi Hall, Navrangpura, Ahmedabad, Gujarat, India, 380009. Its Corporate Identity Number (**'CIN'**) is U18101GJ2020PLC114004 and Permanent Account Number (**'PAN'**) is AAICG3408K. The Company is authorized to engage in the business of textiles. The Resulting Company is a wholly owned subsidiary of the Demerged Company.

3. **Rationale of the Scheme:**

   The Demerged Company is *inter-alia* engaged in varied business verticals namely Chemical, Spinning and Home Textiles. The Chemical business is highly capital driven with long gestation period and the Textiles business (consisting of Spinning Division and Home Textiles Division), on the other hand, is dynamic, more volatile to domestic and international market conditions, heavily dependent on product innovations and development, which require different skill sets and capabilities.

   Management believes that the risk and reward associated with each of the aforesaid business verticals are different and are at different maturity stage in their life cycles. Each business verticals have a distinct attractiveness to divergent set of investors. With a view to unlock the potential of each of the business verticals, the management intends to demerge the Spinning Division, on a going concern basis, into GHCL Textiles Limited, with a resultant mirror image shareholding, and whose shares would be listed on the Stock Exchange after the demerger. It is intended for the Demerged Company to focus on the Chemical Business and the Resulting Company to focus on the Spinning Business. The management believes that such concentrated efforts shall benefit all stakeholders of the Demerged Company and Resulting Company, respectively. The Scheme is expected to result in the following benefits:

   a. Facilitate focused growth, concentrated approach, business synergies and increased operational and customer focus for respective business verticals.
   b. Rationalization of operations with greater degree of operational efficiency and optimum utilization of various resources.

c. The Resulting Company, with clear identity of being in a Spinning Business, will enable right customer attention resulting in deeper market penetration.

d. Creating and enhancing stakeholder's value by unlocking the intrinsic value of its core businesses and listing of shares of the Resulting Company;

e. Ability to leverage financial and operational resources in each business verticals will lead to possibilities of joint ventures and associations with other Industry participants, both in India and globally, and will facilitate attracting greater talent pool.

f. Each business will be able to address independent business opportunities with efficient capital allocation and attract different set of investors, strategic partners, lenders and other stakeholders, thus leading to enhanced value creation for shareholders, which would be in the best interest of the Demerged Company and Resulting Company and their respective stakeholders connected therewith.

g. Simplification and rationalization of business undertakings holding structure of the Demerged Company.

The Scheme is not, in any manner, prejudicial or against public interest and would serve the interest of all shareholders, creditors or any other stakeholders.

This Scheme of Arrangement is divided into following parts:

(I) Part A – dealing with definitions and share capital;

(II) Part B – dealing with demerger of Spinning Division of the Demerged Company into the Resulting Company; and

(iii) Part C – General / residuary terms and conditions that are applicable to this scheme.

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PART A

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1. DEFINITIONS

In this Scheme, unless inconsistent with the subject or context, the following expressions shall have the following meaning:

1.1. **"Act"** means the Companies Act, 2013 and any statutory modification or re-enactment thereof for the time being in force.

1.2. **"Applicable Law(s)"** means any statute, notification, by-laws, rules, regulations, guidelines, rule or common law, policy, code, directives, ordinance, schemes, directives, notices, orders or instructions enacted or issued or sanctioned by any appropriate authority, including any modification or re-enactment thereof for the time being in force.

1.3. **"Appointed Date"** shall mean the Effective Date;

1.4. **"BSE"** means BSE Limited;

1.5. **"Board of Directors"** in relation to the Demerged Company and/or the Resulting Company, as the case may be, means their respective Board of Directors and shall, unless repugnant to the context or otherwise, include a committee of directors or any person authorized by the Board of Directors or such committee of directors.

1.6. **"Demerged Company"** means GHCL Limited, a company incorporated under the Indian Companies Act, 1956 and having its registered office at GHCL House, Opposite Punjabi Hall, Navrangpura, Ahmedabad, Gujarat-380009. Its Corporate Identity Number is L24100GJ1983PLC006513 and Permanent Account Number is AAACG5609C.

1.7. **"Demerged Undertaking"** or **"Demerged Business"** means Spinning Division of GHCL Limited.

1.8. **"Effective Date"** means the date or last of the dates on which certified copies of the order of the NCLT sanctioning the scheme are filled by the Demerged Company and the Resulting Company with the registrar of companies. References in this scheme to the date of "coming into effect of this scheme" or "upon the scheme becoming effective" shall mean the effective date.

1.9. **"Fairness Opinion"** means and refers to the certificate issued by Kunvarji Finstock Private Limited, SEBI Category 1 Merchant Banker, dated 6-December-2021.

1.10. **"IT Act"** means the Indian Income-tax Act, 1961 and shall include any statutory modifications, re-enactments or amendments thereof for the time being in force.

1.11. **"NCLT"** means the Ahmedabad Bench or any other jurisdictional Bench of National Company Law Tribunal as constituted and authorized as per the provisions of the Companies Act, 2013 for approving any scheme of arrangement, compromise or reconstruction of companies under Sections 230 to 232 of the Companies Act, 2013.

1.12. **"NSE"** means National Stock Exchange of India Limited;

1.13. **"Record Date"** means the date to be fixed by the Board of Directors of the Demerged Company, for the purpose of determining the members of the Demerged Company to whom shares in the Resulting Company will be allotted under the scheme.

1.14. **"Remaining Business"** means all the undertakings, businesses, activities and operations of the Demerged Company other than the Spinning Business.

1.15. **"The Resulting Company"** means GHCL Textiles Limited, a company incorporated under the Companies Act, 2013 and having its registered office at GHCL House, Opp. Punjabi Hall, Navrangpura,, Ahmedabad, Gujarat, India, 380009. It's Corporate Identity Number is U18101GJ2020PLC114004 and its Permanent Account Number is AAICG3408K.

1.16. **"Scheme" or "the Scheme" or "this Scheme"** means this Scheme of Arrangement in its present form or with any modification(s) made under Clause 18 of this Scheme or as approved or directed by the NCLT.

1.17. **"Share Entitlement Ratio Report(s)"** means and refers to the certificate issued by Mr. Niranjan Kumar, Registered Valuer, dated 6-December-2021.

1.18. **"SEBI"** means the Securities and Exchange Board of India;

1.19. **"Stock Exchanges"** means the NSE and BSE;

1.20. **"Tax"** or **"Taxes"** shall mean all outgoings or dues or liabilities, crystallized or contingent, on account of taxes on net income, gross income, gross receipts, sales, use, services, ad valorem, value-added, capital gains, corporate income tax, minimum alternate tax, buyback distribution tax, dividend distribution tax, transfer, franchise and profits; withholding tax; property tax; water tax; any tax payable in a representative capacity, goods and service tax; service tax, value-added tax, duties of custom and excise, octroi duty, entry tax, stamp duty, other governmental charges or duties or other taxes or statutory payments in relation to contract labour and/ or other contractors and/ or sub-contractors, statutory pension or other employment benefit plan contributions, fees, assessments or charges of any kind whatsoever, including any surcharge or cess thereon, together with any interest and any penalties, additions to tax or additional amount with respect thereto; and Taxation will be construed accordingly.

1.21. **"Spinning Division" or "Spinning Business"** means and includes the undertaking of the Demerged Company related to Spinning Division consisting, inter-alia, all assets, including movable and immoveable properties and all liabilities relating thereto, whether or not recorded in the books of accounts. Assets and Liabilities of the Spinning Division shall, inter-alia, mean and include:

1.21.1. The assets (whether real or personal, corporeal or incorporeal, present, future, contingent, tangible or intangible) pertaining to the Spinning Division of the Demerged Company including but not limited to licenses (of any nature whatsoever), furniture, fixtures, appliances, accessories, vehicles, power plants, deposits, all stocks, assets, working capital, all customer/vendor contracts, contingent rights or benefits, entitlements, trademarks, logo, copyright, patent, brand/trade name, knowledge, innovations, goodwill, whether or not recorded or appearing in the books of accounts of the Demerged Company and/or the Resulting Company (pursuant to this Scheme) in terms of the applicable accounting standards, belonging to or in the ownership, power, possession or the control of or vested in or granted in favour of or held for the benefit of or enjoyed by the Spinning Division;

1.21.2. All deposits, advances, loans, receivables, funds, staff advances, advance payments to regulatory authorities, cash, bank balances, accounts and all earnest money and/or deposits including security deposits made / paid by the Demerged Company in connection with or relating to the Spinning Division;

1.21.3. The liabilities pertaining to / arising out of the activities or operations of the Spinning Division, inter-alia, including the following:

- All liabilities which arise out of the activities or operations of the Spinning Division.
- Specific loans and borrowings raised, term loans from banks and financial institutions (if any), bank overdrafts, working capital loans & liabilities, incurred and utilized solely for the activities or operations of the Spinning Division;
- Liabilities other than those referred to above, being the amounts of general or multipurpose borrowings of the Demerged Company, if any, allocated to the Spinning

Division in the same proportion in which the value of the assets (ignoring the revalued amount) transferred under this Scheme bear to the total value of the assets of the Demerged Company immediately before giving effect to this Scheme;

Provided however that any question that may arise as to whether a specified asset or liability pertains or does not pertain to the Spinning Division or whether it arises out of the activities or operations of the Spinning Division shall be decided by mutual agreement between the Board of Directors of the Demerged Company and the Resulting Company;

1.21.4. All employees of the Demerged Company employed in/ or relatable to the Spinning Division as on the Effective Date, and as identified by the Board of Directors of the Demerged Company;

1.21.5. All books, records, files, papers, computer software along with their licenses, manuals and backup copies, drawings, data catalogues, and other data and records, whether in physical or electronic form, directly or indirectly in connection with or relating to the Spinning Division

Without prejudice to the generality of the foregoing, it is clarified that all rights, entitlements, consents, permissions, licenses, certificates, authorizations relating to the Spinning Division shall stand transferred to the Resulting Company as if the same were originally given by, issued to or executed in favour of the Resulting Company, and the rights and benefits under the same shall be available to the Resulting Company. Further, all benefits or incentives including income tax, sales tax (including deferment of sales tax), goods and service tax, value added tax and any other direct or indirect tax(es) benefits in respect of the Spinning Division for which the Demerged Company is entitled to in terms of the various statutes and/or schemes of Union and State Governments, shall be available to and vest in the Resulting Company.

1.22. **"TDS"** means Tax Deducted at Source;

The expressions which are used in this Scheme and not defined in this Scheme, shall, unless repugnant or contrary to the context or meaning hereof, have the same meaning ascribed to them under the Act and other Applicable Laws, rules, regulations, bye-laws, as the case may be, or any statutory modification or re-enactment thereof from time to time.

## 2. DATE OF TAKING EFFECT AND OPERATIVE DATE

2.1. The Scheme set out herein in its present form or with any modification(s) approved or imposed or directed by the NCLT, shall be effective and operative from the Appointed Date.

## 3. SHARE CAPITAL

3.1. The share capital of the Demerged Company as on 30th September 2021 was as under:

| | |
|---|---|
| **Authorized Capital** | |
| 17,50,00,000 Equity shares of Rs.10 each | 175,00,00,000 |
| **Total** | **175,00,00,000** |
| **Issued, Subscribed and Paid-up** | |
| 9,53,50,786 Equity shares of Rs.10 each | 95,35,07,860 |
| **Total** | **95,35,07,860** |

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Subsequent to the above date and till the date of the scheme being approved by the Board of Directors of the Demerged Company, there has been no change in the authorized, issued, subscribed and paid-up equity share capital of the Demerged Company.

3.2. The share capital of the Resulting Company as per latest provisional accounts as on 30th September 2021 was as under:

| Particulars | (Amount in Rs.) |
|---|---|
| **Authorized Capital** | |
| 7,50,000 Equity shares of Rs. 2 each | 15,00,000 |
| **Total** | **15,00,000** |
| **Issued, Subscribed and Paid-up** | |
| 50,000 Equity shares of Rs. 2 each | 1,00,000 |
| **Total** | **1,00,000** |

Subsequent to the above date and till the date of the scheme being approved by the Board of Directors of the Resulting Company, there has been no change in the authorized, issued, subscribed and paid-up equity share capital of the Resulting Company.

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## PART B

## DEMERGER OF THE SPINNING DIVISION OF THE DEMERGED COMPANY INTO THE RESULTING COMPANY

### 4. VESTING OF UNDERTAKING

With effect from the Appointed Date, and subject to the provisions of the Scheme, the Spinning Division of the Demerged Company, as defined in Clause 1.21 above, shall subject to the provisions of this Clause in relation to the mode of vesting and pursuant to Sections 230 to 232 of the Act and any other relevant provisions of the Act, and without any further act or deed, be transferred to and vested in and/or deemed to be transferred to and vested in the Resulting Company, as a going concern, in the following manner:

4.1. With effect from the Appointed Date, the whole of the undertaking and properties comprising all tangible and intangible assets including but not limited to all kinds of contingent rights or benefits, entitlements, licenses (of any nature whatsoever), trademarks, logo, copyright, patent, brand/trade name, knowledge, innovations, goodwill, whether or not recorded or appearing in the books of accounts of the Demerged Company pertaining to the Spinning Division, as aforesaid, shall, under the provisions of Sections 230 to 232 of the Act and any other relevant provisions of the Act, if any, without any further act or deed, be transferred to and be vested in and/or be deemed to be transferred to the Resulting Company so as to vest in the Resulting Company all the rights, title and interest pertaining to the Spinning Division of the Demerged Company.

4.2. With effect from the Appointed Date, all debts, liabilities, contingent liabilities, duties and obligations of every kind, nature and description of the Demerged Company relating to the Spinning Division, as defined in clause 1.21 above, shall, under the provisions of Sections 230 to 232 of the Act and any other relevant provisions of the Act, without any further act or deed, be transferred to and/or deemed to be transferred to the Resulting Company as the debts, liabilities, contingent liabilities, duties and obligations of the Resulting Company and it shall not be necessary to obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of which such Liabilities and obligations have arisen in order to give effect to the provisions of this sub-clause.

4.3. The vesting of the Spinning Division as aforesaid, shall be subject to the existing securities, charges, hypothecation and mortgages, if any, subsisting in relation to any loans or borrowings of the Spinning Division, provided however, any reference in any security documents or arrangements to which the Demerged Company is a party, wherein the assets of the Spinning Division have been or are offered or agreed to be offered as securities for any financial assistance or obligations, shall be construed as a reference to only the assets pertaining to the Spinning Division as are vested in the Resulting Company as per the Scheme, to the end and intent that any such security, charge, hypothecation and mortgage shall not extend or be deemed to extend to any of the other assets of the Demerged Company or any other assets of the Resulting Company. Provided further, that the securities, charges, hypothecation and mortgages (if any subsisting) over and in respect of the assets or any part thereof of the Resulting Company shall continue with respect to such assets or part thereof and this Scheme shall not operate to enlarge such securities, charges, hypothecation and mortgages shall not extend or be deemed to extend to any of the other assets of Resulting Company.

4.4. With effect from the Appointed Date and upon the Scheme becoming effective any statutory licenses, certificates, permissions, unique identification numbers, registrations or approval or consents held by the Demerged Company required to carry on operations in the Demerged Undertaking shall stand vested in or transferred and deem to be transferred to and vested to the Resulting Company without any further act or deed, and shall be appropriately mutated by the

statutory authorities concerned therewith in favour of the Resulting Company. The Resulting Company and/or the Demerged Company shall file intimation with the relevant authorities, who shall take the same on record, or undertake necessary actions as may be required, for having the said licenses, certificates, permissions, registration, unique identification numbers, etc. vested or transferred to the Resulting Company.

4.5. With effect from the Appointed Date, all documents of title, deeds, papers, contracts, licenses etc. pertaining to the Spinning Division shall be handed over to the Resulting Company.

4.6. With effect from the Appointed Date, the transfer and vesting of the assets of the Demerged Company relating to the Spinning Division shall be affected as follows:

4.6.1. The immoveable properties including land, building and structures, if any, belonging to and/or vested in the Spinning Division shall be transferred to and vested in or deemed to have been transferred to the Resulting Company. With effect from the Appointed Date, the Resulting Company shall be entitled to exercise all rights and privileges and be liable to pay ground rent, municipal taxes, if any, and fulfill all obligations in relation to or applicable to such immovable properties. The mutation of title to the immovable properties in the name of the Resulting Company shall be made and duly recorded by the appropriate authorities pursuant to the sanction of this Scheme by the NCLT and this Scheme becoming effective in accordance with the terms hereof.

4.6.2. Notwithstanding anything contained in this Scheme, the immovable properties of the Demerged Company pertaining to the Demerged Undertaking situated in different states, whether owned or leased, for the purpose of, inter alia, payment of stamp duty, and vesting into the Resulting Company and if the Resulting Company so decides, the concerned parties, upon the Scheme becoming Effective, shall execute or register or cause so to be done, separate deeds of conveyance or deeds of assignment of lease, as the case may be, in favour of the Resulting Company in respect of such immovable properties. Each of the immovable properties, only for the payment of stamp duty (if required under Applicable Law), shall be deemed to be conveyed at a value as determined by the relevant authorities in accordance with the applicable circle rates. The transfer of such immovable properties shall form an integral part of the Scheme.

4.6.3. All the movable assets of the Spinning Division or assets otherwise capable of transfer by manual delivery or by endorsement and delivery, including cash in hand shall be physically handed over by manual delivery to the Resulting Company to the end and intent that the property therein passes to the Resulting Company on such delivery, without requiring any deed or instrument of conveyance for the same and shall become the property of the Resulting Company accordingly.

4.6.4. In respect of movable assets, other than those specified in sub-clause 4.6.3 above, including sundry debtors, outstanding loans and advances, if any, recoverable in cash or in kind or value to be received, bank balances and deposits, if any, pursuant to the order of the NCLT, the said debt, loan, advances, etc. would be paid or made good or held on account of the Resulting Company as the person entitled thereto, to the end and intent that the right of the Demerged Company to recover or realize the same stands extinguished, and that such rights to recover or realize the same shall vest in the Resulting Company. Pursuant to the order of the NCLT sanctioning the Scheme, each person, debtor or depositee of the Spinning Division of the Demerged Company would pay the debt, loan or advance or make good the same or hold the same to the account of the Resulting Company and that the right of the Resulting Company to recover or realize the same would be in substitution of the right of the Demerged Company.

4.7. Any loans or other obligations, if any, due between the Spinning Division of the Demerged Company and the Resulting Company or any other transactions between the Spinning Division of the Demerged Company and the Resulting Company as on the Appointed Date, shall stand automatically extinguished.

4.8. All taxes, duties, cess payable by the Demerged Company relating to the Spinning Division and all or any refunds/credit (including cenvat credits)/claims relating thereto shall be treated as the liability or refunds/credit/claims, as the case may be, of the Resulting Company.

4.9. The experience, track record, knowledge, innovations and credentials of the Demerged Company in relation to the Demerged Undertaking in dealing with identified products and/or services in relation to various authorities, agencies and clients prior to its transfer to the Resulting Company shall be taken into account and treated and recognize as the experience, track record, knowledge, innovations and credentials in relation to such Demerged Undertaking even after its transfer to the Resulting Company.

4.10. On and from the Effective Date and till such time that the name of the bank accounts of the Demerged Company, in relation to or in connection with the Demerged Undertaking, have been replaced with that of the Resulting Company, the Resulting Company shall be entitled to maintain and operate the bank accounts of the Demerged Company pertaining to the Demerged Undertaking, in the name of the Demerged Company for such time as may be determined to be necessary by the Resulting Company. All cheques and other negotiable instruments, payment orders received or presented for encashment which are in the name of the Demerged Company, in relation to or in connection with the Demerged Undertaking, after the Effective Date shall be accepted by the bankers of the Resulting Company and credited to the account of the Resulting Company, if presented by the Resulting Company.

4.11. This Scheme has been drawn up to comply with the conditions relating to "Demerger" as specified under Section 2(19AA) of the Income tax Act, 1961. If any terms or provisions of the Scheme are found or interpreted to be inconsistent with the said provisions at a later date including resulting from an amendment of law or for any other reason whatsoever, the provisions of the said section of the Income tax Act, 1961 shall prevail and the Scheme shall stand modified to the extent determined necessary to comply with conditions contained in Section 2(19AA) of the Income tax Act, 1961. Such modification will however not affect other parts of the Scheme.

## 5. CONSIDERATION

5.1 The Resulting Company shall without any further act, issue and allot its equity shares of face value of Rs. 2 each as consideration to each equity shareholder of the Demerged Company, whose name is recorded in the register of members of the Demerged Company as on Record date or to their respective heirs, executors, administrators or other legal representatives or successors-in-title, as the case may be, in the following manner:

*"1 (One) equity share of the Resulting Company of face value of INR 2 each fully paid up shall be issued for every 1 (One) equity share of INR 10 each fully paid up held in the Demerged Company (i.e. GHCL)"*

5.2 The aforesaid ratio for the issue of equity shares by the Resulting Company against the equity shares held by the shareholders in the Demerged Company is based on the recommendations made in the Share Entitlement Report dated 6-December-2021 issued by Mr. Niranjan Kumar, Registered Valuer, having IBBI registration No – IBBI/RV/06/2018/10137.

Equity shares to be issued and allotted in terms hereof will be subject to the Memorandum of Association and Articles of Association of the Resulting Company and shall be deemed to be in compliance with the provisions of the Act or any law for the time being in force.

5.4 Issuance of new shares by the Resulting Company shall be made in compliance with the applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with Master Circular issued by the Securities and Exchange Board of India on November 23, 2021 bearing no. SEBI/HO/CFD/DIL1/CIR/P/2021/0000000665 or any statutory modification or re-enactment thereof from time to time.

5.5 The equity shares shall be issued in dematerialized form to those shareholders who hold shares of the Demerged Company in dematerialized form, into the account in which shares of the Demerged Company are held or such other account as is intimated in writing by the shareholders to the Demerged Company and/or its Registrar. All the shareholders who hold shares of the Demerged Company in physical form shall also have the option to receive the equity shares, as the case may be, in dematerialized form provided the details of their account with the Depository Participant are intimated in writing to the Demerged Company and/or its Registrar on or before the Record Date. The shareholders who fail to provide such details shall be issued equity shares in physical form. Notwithstanding the above, if as per Applicable laws, the Resulting Company is not permitted to issue and allot the new equity shares in physical form and it has still not received the demat account details of such shareholders of the Demerged Company, the Resulting Company shall issue and allot such shares in lieu of the new equity share entitlement of such shareholders, into a Demat Suspense account, which shall be operated by one of the directors of the Resulting Company, duly authorised in this regard, who shall upon receipt of appropriate evidence from such shareholders regarding their entitlements, will transfer from such Demat Suspense account into the individual demat account of such claimant shareholders, such number of shares as may be required in terms of this scheme.

5.6 The shares allotted pursuant to the Scheme shall remain frozen in the depository system till listing/trading permission is given by the designated stock exchange. Further, there shall be no change in the shareholding pattern of GHCL Textiles Ltd (Resulting Company) between the record date and the listing date, which may affect the status of approval from Stock exchange(s).

5.7 The new shares to be issued by the Resulting Company in respect of any equity shares of the Demerged Company which are held in abeyance under the provision of section 126 of the Act or otherwise, shall also be kept in abeyance.

5.8 The fractional entitlements, if any, shall be aggregated and held by the trust, nominated by the Board in that behalf, who shall sell such shares in the market at such price, within a period of 90 days from the date of allotment of shares and eligible shareholders would be compensated accordingly.

5.9 Upon the issuance and allotment of equity shares pursuant to the Scheme, the Resulting Company shall take necessary steps, including the filling of the applications with Stock Exchanges, for the purpose of listing of the equity shares of the Resulting Company on such recognized Stock Exchanges, in accordance with the Applicable Laws.

5.10 The approval of this Scheme by the requisite majority of shareholders of the Resulting Company shall be deemed to be in due compliance of the provisions of Section 62 of the Act, and other relevant and applicable provisions of the Act for the issue and allotment of equity shares by the Resulting Company to the shareholders of the Demerged Company, as provided in this Scheme.

**6. REORGANIZATION OF AUTHORISED SHARE CAPITAL OF THE DEMERGED COMPANY**

6.1 Upon this Scheme becoming effective and with effect from the Appointed Date, a part of the authorised share capital of the Demerged Company shall stand transferred to and form part of the authorised share capital of the Resulting Company, without any further act or deed and simultaneously with a re-classification of the authorised share capital of the Resulting Company

in accordance with the provisions of section 61 of the Act, and the fee, if any, paid by the Demerged Company on its authorised share capital shall be set off against any fee payable by the Resulting Company on its authorised capital, subsequent to the Demerger.

6.2 Upon this Scheme coming into effect and with effect from the Appointed Date (and consequent to transfer of a part of the existing authorised share capital of the Demerged Company to the Resulting Company), the authorised share capital of the Demerged Company shall stand reduced by 3,50,00,000 equity shares of Rs. 10 each. Such reduced authorised share capital shall stand transferred to the Resulting Company. Revised Clause 5 of the Memorandum of Association of the Demerged Company, post giving effect to above transfer, shall stand modified and be substituted by the following:

"The Authorised Share Capital of the Company is Rs 140,00,00,000/- divided into 14,00,00,000 equity shares of Rs 10 each."

6.3 Accordingly, Clause V of the Memorandum of Association of the Resulting Company shall stand modified and be substituted by the following:

"The Authorised Share Capital of the Company is Rs 35,15,00,000/- divided into 17,57,50,000 equity shares of Rs 2 each."

6.4 It is hereby clarified that the consent of the shareholders of the Demerged Company and the Resulting Company to this Scheme shall be sufficient for the purposes of effecting the aforesaid amendments in the Memorandum of Association of the Demerged Company and the Resulting Company and that no further resolutions, whether under the applicable provisions of the Act or under the Articles of Association, shall be required to be separately passed. The fees and the stamp duty paid by the Demerged Company on its authorised share capital shall be set-off against any fees payable by the Resulting Company on increase in its authorised share capital subsequent to demerger as mentioned in this clause 6. Balance fees if any payable, after the aforesaid adjustment, by the Resulting Company shall be duly paid upon the sanctioning of the Scheme.

6.5 The Demerged Company and the Resulting Company shall file with the jurisdictional Registrar of Companies, all requisite forms and complete the requirements under the Act, if any.

## 7. ACCOUNTING TREATMENT

7.1 **In the books of the Demerged Company:**

With effect from the Appointed Date, the Demerged Company shall account for the Scheme in its books of accounts in accordance with Appendix A of Indian Accounting Standards (Ind AS) 10 'Distribution of Non-cash Assets to Owners' prescribed under Section 133 of the Companies Act, 2013 read with the Companies (Indian Accounting Standards) Rules, 2015, as may be amended from time to time. Accordingly, the Demerged Company shall provide the following accounting treatment in its books of accounts:

7.1.1. Recognise liability for Distribution of Non-Cash Assets to owners as dividend, to the extent of fair value of the Spinning Business ("Demerged Undertaking") with a corresponding debit to the Other equity, solely to meet the requirements of Ind-AS notified under Section 133 of the Act. The liability is subject to review at each reporting date and at the date of settlement, with any changes in the carrying amount of the liability recognised in Other equity as an adjustment to the amount of distribution.

7.1.2. Reduce the carrying amount of all assets and liabilities pertaining to the Demerged Undertaking, being transferred to the Resulting Company, from the respective book value of assets and liabilities of the Demerged Company;

7.1.3. The Demerged company shall recognise the difference, if any, between the carrying amount of the assets and liabilities distributed and the carrying amount of the liability derecognised in the Statement of profit and loss, solely to meet the requirements of Ind-AS notified under Section 133 of the Act;

7.1.4. Entire investment made by the Demerged Company in the equity share capital of the Resulting Company, shall stand cancelled;

7.1.5. For accounting purpose, the Scheme will be given effect on later of Appointed date or the date when all substantial conditions for the transfer of Demerged Undertaking are completed.

7.1.6. Any matter not dealt with in Clause hereinabove shall be dealt with in accordance with the accounting standards applicable to the Demerged Company.

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7.2 **In the books of the Resulting Company** 115

With effect from the Appointed Date, the Resulting Company shall account for the Scheme in its books of accounts in accordance with Indian Accounting Standards (Ind AS) notified under Section 133 of the Act, under the Companies (Indian Accounting Standard) Rules, 2015, as may be amended from time to time and generally accepted accounting principles in India. Accordingly, the Resulting Company shall provide the following accounting treatment in its books of accounts.

7.2.1. Record the assets and liabilities of the Spinning Business ("Demerged Undertaking") of the Demerged Company, vested in it pursuant to this Scheme at their respective carrying values as appearing in the books of Demerged Company.

7.2.2. Record the equity shares issued and allotted by it pursuant to the Scheme at its fair value. The difference between the fair value of equity shares issued and the face value of equity shares issued will be classified as Securities Premium under the head "Other Equity".

7.2.3. The difference between the fair value of the equity shares issued by the Resulting Company to the shareholders of the Demerged Company as per Clause 5 and the book value of the assets and liabilities of the Demerged Undertaking received from the Demerged Company will be debited/credited to equity and classified as "Capital reserve" under the head "Other Equity".

7.2.4. Shares held by the Demerged Company in the Resulting Company shall stand cancelled. There shall be no further obligation in respect of the cancelled shares. The cancellation of share capital will be affected as part of this Scheme in accordance with provision of Section 66 of the Act and the order of the NCLT shall be deemed to be the order under the applicable provisions of the Act for confirming the cancellation of share capital.

7.2.5. For accounting purpose, the Scheme will be given effect on later of Appointed date or the date when all substantial conditions for the transfer of Demerged Undertaking are completed.

7.2.6. Any matter not dealt with in Clause hereinabove shall be dealt with in accordance with the accounting standards applicable to the Resulting Company.

**8. CONDUCT OF BUSINESS**

8.1. Subject to Clause 4 of the Scheme, as and from the date of approval of this Scheme by the Board of Directors of the Demerged Company and the Resulting Company and till the Effective Date, the Demerged Company:

8.1.1. Shall carry on the business activities of the Spinning Division with reasonable care and diligence and in the same manner as it had been doing hitherto;

8.1.2. Shall not vary or alter, except in the ordinary course of its business and as may be required for reorganization, the terms and conditions of employment of any of its employees in relation to the Spinning Division.

8.2 With effect from the Effective Date, the Resulting Company shall continue and carry on and shall be authorized to carry on the businesses carried on by the Spinning Division of the Demerged Company.

**9. Employees of Demerged Undertaking**

9.1 Upon the Scheme becoming effective, all employees of the Demerged Undertaking ('**Transferred Employee**') in service as on the Effective Date shall be deemed to have become the employees of the Resulting Company with effect from the Appointed Date without any interruption in their service as a result of the transfer of the Demerged Undertaking to the

Resulting Company on the same terms and conditions of employment as were with the Demerged Company. On the basis of continuity of service, the terms and conditions of their employment with the Resulting Company shall not be less favorable than those applicable to them with reference to the Demerged Undertaking of the Demerged Company as on the Effective Date.

9.2 The existing provident fund trust and pension fund trust, gratuity fund, superannuation fund, NPS fund or any other fund, as applicable, for the transferred employees of the Demerged Undertaking shall be continued for the benefit of such employees including employees who may hereafter join the Resulting Company on the same terms and conditions and with effect from such date, the Resulting Company shall make the necessary contribution for such employees taken over by the Resulting Company until the Resulting Company constitutes its own provident fund, gratuity fund, superannuation fund or any other special fund and obtains necessary approval for the same. Upon the Scheme being effective, the Resulting Company shall stand substituted for the Demerged Company for all purposes whatsoever related to the administration or operation of such trust or fund or in relation to the obligations to make a contribution to the said funds in accordance with the provisions of the trust or funds or according to the terms provided in the respective trust deeds or other documents. The Resulting Company undertakes to discharge all the duties and obligations and assumes all the rights and powers of the Demerged Company, upon the Scheme being effective, in relation to aforesaid trusts or funds of the Demerged Company in relation to the Demerged Undertaking. The services of the staff, workmen and other employees of the Demerged Undertaking will be treated as having been continuous for the purposes of the aforesaid trusts/ funds or provisions of any trust/ funds for employees. The amount of liability in respect of gratuity and leave (determined as the sum payable on the Appointed Date as if the same were due) relating to the employees of the Demerged Undertaking shall be appropriately adjusted by the Demerged Company and transferred to the Resulting Company.

9.3 The Resulting Company undertakes to continue to abide by any agreement(s) /settlement(s) entered into with any labour unions/ employees by the Demerged Company in relation to the Demerged Undertaking. The Resulting Company agrees that for the purpose of payment of any retrenchment compensation, gratuity and other terminal benefits, the past services of such employees with the Demerged Company shall also be taken into account, and agrees and undertakes to pay the same as and when payable. Upon the Scheme becoming effective, in order to compensate the employees that had been granted options under the Demerged Company ESOP Plan (if applicable), and who have been transferred pursuant to the Scheme, shall be granted employee stock options by the Resulting Company, subject to applicable regulatory laws. Upon the Scheme becoming effective, the Resulting Company shall issue fresh employee stock options, subject to applicable regulatory laws, to the Transferred Employees employed by it pursuant to the Scheme taking into account the applicable share exchange ratio mentioned in Clause 5 of the Scheme, and on terms and conditions not less favourable than those provided under the Demerged Company ESOP Plan. Such stock options may be issued by the Resulting Company either under its existing employee stock option plan or a revised stock option plan for the Transferred Employees or under a separate employee stock option plan created by the Resulting Company inter alia for the purpose of granting stock options to the Transferred Employees pursuant to this Scheme. The period served by the Transferred Employees in the Demerged Company prior to the effectiveness of the Scheme shall be taken into account by the Resulting Company to determine the vesting periods for the employee stock options to be granted by the Resulting Company to the Transferred Employees.

9.4 In the event that prior to the Scheme becoming effective, any of the Transferred Employees have exercised (if any) the employee stock options granted to them under the Demerged

Company ESOP Plan, the Resulting Company will not need to issue any fresh employee stock options to such Transferred Employees and as on the Record Date, such Transferred Employees shall be treated at par with the other equity shareholders of the Demerged Company. In the event that the stock options, if any, granted to a Transferred Employee lapse prior to the coming into effect of the Scheme, no further action will be needed to be taken by the Resulting Company in relation to such lapsed employee stock options held by the Transferred Employee.

9.5 The terms and conditions of the Demerged Company ESOP Plan (if any) would be revised, by the Board/Shareholders (as may be applicable) of the Demerged Company, such that the employees of the Demerged Company who are not transferred pursuant to this Scheme are not adversely affected.

## 10. GRANT OF EMPLOYEE STOCK OPTIONS BY THE DEMERGED COMPANY

10.1 Subject to the provisions of Section 62(1)(b) and other provisions of the Companies Act, 2013 as applicable, the Memorandum and Articles of Association of the Demerged Company, Securities and Exchange Board of India (Share Based Employee Benefits) Regulations, 2014 and subject to such other sanctions, permissions and approvals, including the recommendation of Nomination & Remuneration Committee, as may be necessary, in order to reward the identified employees for their continuous hard work, dedication and support towards the growth of the Business, the Demerged Company shall create, offer and grant from time to time up to 8% of the Share Capital of the Demerged Company) options to the identified employees, existing and future including the Whole-time directors but excluding the Independent Director of the Demerged Company and their existing and future subsidiary companies (whether in or outside India) as may be decided solely by the Board of Directors of the Demerged Company, exercisable into equivalent Equity Shares of face value of Rs. 10/- each fully paid up, in one or more tranches, on such terms and in such manner (including through primary or secondary purchase mechanism) as the Board may decide in accordance with the provisions of the law or regulations issued by the relevant authorities.

## 11. LEGAL PROCEEDINGS

11.1 All legal proceedings of whatsoever nature by or against the Demerged Company pending and/or arising at the Appointed Date in relation to the Spinning Division shall be continued and enforced by or against the Resulting Company, and the Resulting Company will bear the liabilities of such proceedings at its own cost. The Demerged Company shall extend all its assistance to defend such proceedings at the cost of the Resulting Company.

11.2 Subsequent to the Appointed Date, if any proceedings are initiated by any third party (including regulatory authorities) by or against the Spinning Division of the Demerged Company under any statute, such proceedings shall be continued and enforced only against the Resulting Company and the Resulting Company shall bear the liabilities of such proceedings at its own cost. The Demerged Company shall extend all its assistance to defend the liabilities of such proceedings at the cost of the Resulting Company.

## 12. TREATMENT OF TAXES

12.1 Upon this Scheme becoming effective and with effect from the Appointed Date, all taxes and duties payable, if any, by the Demerged Company (including but not limited to the IT Act, Goods and Services Tax, Customs Act, Central Excise Act, State Sales Tax laws, Central Sales Tax Act, VAT/ Service tax and all other Applicable Laws), accruing and relating to the Spinning Division from the Appointed Date onwards, including all advance tax payments, TDS, minimum alternate tax, any refund and claims shall, for all purposes, be treated as advance tax payables

or payments, TDS, minimum alternate tax or refunds and claims, as the case may be, of the Resulting Company.

12.2 Upon this Scheme becoming effective, all existing and future incentives, unavailed credits and exemptions/deductions, subsidies (including but not limited to subsidy available to the Demerged Undertaking under the Technology Up-gradation Fund scheme along with all refunds), grants, Taxes, and tax credit/ incentives (including but not limited to credits/incentives in respect of income tax, value added tax, sales tax, service tax, goods and services tax etc.), deferred tax benefits, advance tax, minimum alternate tax, benefit of carried forward losses, unabsorbed tax depreciation, tax holidays and other statutory benefits, including in respect of income tax (including TDS, tax collected at source, advance tax, minimum alternate tax credit etc.), cenvat, customs, value added tax, sales tax, service tax, goods and services tax etc. relating to the Spinning Division to which the Demerged Company is entitled / obliged to shall be available to and vest in the Resulting Company, without any further act or deed.

12.3 Upon this Scheme becoming effective, the Demerged Company and the Resulting Company are permitted to revise and file their respective income tax returns, withholding tax returns, including TDS certificates, goods and services tax, sales tax/value added tax returns, service tax returns and other tax returns, and to claim refunds/credits/exemptions/deductions, if any, as may be required for the purpose of /consequent to the implementation of the Scheme.

12.4 The Board of Directors of the Demerged Company and the Resulting Company shall be empowered to determine if any specific tax liability or any tax proceeding relates to the Spinning Division and whether the same would be transferred to the Resulting Company or decide on any other matters.

12.5 Upon the Scheme becoming effective, any TDS deposited, TDS certificates issued or TDS returns filed by the Demerged Company, if any, relating to the Spinning Division shall continue to hold good as if such TDS amounts were deposited, TDS certificates were issued and TDS returns were filed by the Resulting Company.

12.6 All the expenses incurred by the Demerged Company and the Resulting Company in relation to the Scheme, including stamp duty expenses, if any, shall be allowed as deduction to the Demerged Company and the Resulting Company in accordance with the Section 35DD of the IT Act over a period of 5 (five) years beginning with the previous year in which the Scheme becomes effective.

12.7 Any refund under the tax laws due to the Demerged Company pertaining to the Spinning Division consequent to the assessments made on the Demerged Company and for which no credit is taken in the accounts as on the date immediately preceding the Appointed Date shall belong to and be received by the Resulting Company. The relevant authorities shall be bound to transfer to the account of and give credit for the same to the Resulting Company upon this Scheme becoming effective upon relevant proof and documents being provided to the said authorities.

12.8 All tax assessment proceedings/ appeals/ litigations of whatsoever nature by or against the Demerged Company, whether pending on the Appointed Date or which are instituted at any time in the future, and relating to the Demerged Undertaking of the Demerged Company, shall be continued and/or enforced by or against the Demerged Company until the Effective Date. As and from the Effective Date, the tax proceedings shall be continued and enforced by or against the Resulting Company in the same manner and to the same extent as would or might have been continued and enforced by or against the Demerged Undertaking of the Demerged Company.

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12.9 Further, the aforementioned proceedings shall neither abate or be discontinued nor be in any way prejudicially affected by reason of the demerger of the Demerged Undertaking of the Demerged Company or anything contained in the Scheme.

12.10 Any tax liabilities under the income tax laws, service tax laws, goods and services tax laws, excise duty laws, applicable state value added tax laws or other Applicable Laws /regulations dealing with taxes/ duties/ levies applicable to the Demerged Undertaking of the Demerged Company to the extent not provided for or covered by tax provisions in the accounts made as on the Appointed Date shall be transferred to the Resulting Company. Any surplus in the provision for taxation/ duties/ levies account including advance tax and tax deducted at source, relating to the Demerged Undertaking, as on the Appointed Date will also be transferred to the account of the Resulting Company.

12.11 Without prejudice to the generality of the above, all benefits, incentives, tax losses, unabsorbed depreciation, credits (including, without limitation income tax, goods and services tax, service tax, excise duty, applicable state value added tax, etc.) to which the Demerged Undertaking of the Demerged Company is entitled to in terms of Applicable Laws, shall be available to and vest in the Resulting Company.

12.12 Upon the Scheme becoming effective, any refunds, benefits, incentives, grants, subsidies in relation to or in connection with the Demerged Undertaking, the Demerged Company shall, if so required by the Resulting Company, issue notices in such form as the Resulting Company may deem fit and proper stating that pursuant to the Tribunal having sanctioned this Scheme, the relevant refund, benefit, incentive, grant, subsidies, be paid or made good or held on account of the Resulting Company, as the person entitled thereto, to the end and intent that the right of the Demerged Company to recover or realise the same, stands transferred to the Resulting Company and that appropriate entries should be passed in their respective books to record the aforesaid changes.

12.13 It is reiterated that the Demerger of the Spinning Division of the Demerged Company into the Resulting Company pursuant to this scheme shall take place with effect from the Appointed Date and shall be in accordance with the provision of Section 2(19AA) and all other provisions of the of the Income Tax Act, 1961. Upon the Scheme coming into effect, for the purpose of Income Tax Act, 1961, the Resulting Company shall account for the transaction relating to the Spinning Division from the Appointed Date and shall draw its books of account to the extent required to give effect to the Scheme.

**13. CONTRACTS, DEEDS, ETC.**

13.1 Subject to the other provisions of this Scheme, all contracts, deeds, bonds, agreements and other instruments including any contract for exploitation of intellectual property rights and all other rights, title, interest, labels and brand registrations, copyrights, patents, trademarks, trade names, licenses, entitlements and other industrial or intellectual property rights of any nature whatsoever, pertaining to the Spinning Division to which the Demerged Company is party and which are subsisting or having effect on the Effective Date, shall be in full force and effect against or in favour of the Resulting Company, as the case may be, and may be enforced by or against the Resulting Company as fully and effectually as if, instead of the Demerged Company, the Resulting Company had been a party thereto. Further, all contracts with third parties relating to the Spinning Division to which the Demerged Company is party, shall be in full force and effect against or in favour of the Resulting Company. The Resulting Company shall enter into and/or issue and/or execute deeds, writings or confirmations or enter into any tripartite arrangements, confirmations or novation's, to which the Demerged Company will, if necessary, also be party in order to give formal effect to the provisions of this Scheme, if so required or becomes necessary. The Resulting Company shall be deemed to be authorised to execute any such deeds, writings

or confirmations on behalf of the Demerged Company and to implement or carry out all formalities required on the part of the Demerged Company to give effect to the provisions of this Scheme.

**14. SAVING OF CONCLUDED TRANSACTIONS**

14.1 The transfer of properties and liabilities under Clause 4 above and the continuance of proceedings by or against the Demerged Company under Clause 11 above shall not affect any transaction or proceedings already concluded, if any, by the Demerged Company till the Effective Date, to the end and intent that the Resulting Company accepts and adopts all acts, deeds and things done and executed by the Demerged Company in respect thereto.

GHCL LIMITED NOIDA

GHCL TEXTILES LIMITED

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

## PART C

## GENERAL CONDITIONS

12.1

### 15. COMPLIANCE WITH TAX LAWS

15.1 This Scheme, in so far as it relates to the demerger of the Spinning Division of the Demerged Company into the Resulting Company, has been drawn up to comply with the conditions relating to "Demerger" as specified under Section 2(19AA) of the IT Act, which include the following:

a) all the assets and properties of the Demerged Undertaking, being transferred by the Demerged Company, immediately before the demerger shall become the properties of Resulting Company, respectively, by virtue of such Demerger;

b) all the liabilities relatable to the Demerged Undertaking, being transferred by the Demerged Company, immediately before the demerger, become the liabilities of the Resulting Company by virtue of the demerger;

c) the property and the liabilities of the Demerged Undertaking or Undertakings being transferred by the Demerged Company are transferred at values appearing in its books of account immediately before the demerger;

This provision shall not apply where the Resulting Company records the value of the property and the liabilities of the Undertaking at a value different from the value appearing in the books of account of the Demerged Company, immediately before the demerger, in compliance to the Indian Accounting Standards specified in Annexure to the Companies (Indian Accounting Standards) Rules, 2015.

d) the Resulting Company issues, in consideration of the demerger, its shares to the shareholders of the Demerged Company on a proportionate basis, except where the Resulting Company itself is a shareholder of the Demerged Company;

e) the shareholders holding not less than three-fourths in value of the shares in the Demerged Company (other than shares already held therein immediately before the demerger by, or by a nominee for, the Resulting Company or, its subsidiary) become shareholders of the Resulting Company by virtue of the demerger, otherwise than as a result of the acquisition of the property or assets of the Demerged Company or any undertaking thereof by the Resulting Company; and

f) the transfer of the Demerged Undertaking shall be on a going concern basis;

and other relevant sections (including Sections 47 and 72A) of the IT Act.

15.2 If any terms or provisions of this Scheme are found to be or interpreted to be inconsistent with any of the said provisions at a later date whether as a result of a new enactment any amendment or coming into force of any provision of the IT Act or any other law or any judicial or executive interpretation or for any other reason whatsoever, the aforesaid provisions of the tax laws shall prevail and this Scheme shall be modified accordingly with consent of each of the Companies (acting through their respective Board of Directors).

### 16. REMAINING BUSINESS AND OTHER LIABILITIES

16.1. The Demerged Company shall continue to carry on the Remaining Business. All the assets, liabilities and obligations pertaining to the Remaining Business arising prior to, on or after the Appointed Date including liabilities other than those transferred to the Resulting Company under Clause 1.21 of this Scheme shall continue to belong to, be vested in and be managed by the Demerged Company

16.2. Save and except the Demerged Undertaking of the Demerged Company and as expressly provided in the Scheme, nothing contained in this Scheme shall effect the Remaining Business of the Demerged Company, or any other Business, assets and liabilities of the Demerged

Company, which shall continue to belong to and be vested in and be managed by the Demerged Company.

**17. APPLICATION TO THE NCLT**

17.1 The Demerged Company and the Resulting Company shall make all necessary applications under Sections 230 to 232 read with section 66 and other applicable provisions of the Act to the NCLT for seeking approval of the Scheme.

**18. MODIFICATION OR AMENDMENT TO THE SCHEME**

18.1 The Demerged Company and the Resulting Company (through their respective Board of Directors) are empowered and authorised:

a) To assent from time to time to any modifications or amendments or substitutions of the Scheme or of any conditions or limitations which the NCLT and/or any authorities under law or their respective Boards may deem fit to approve or direct or which may be considered necessary due to any change in law or as may be otherwise be deemed expedient or necessary; and

b) To settle all doubts or difficulties that may arise in carrying out the scheme and to do and execute all acts, deeds matters and things on behalf of the companies, necessary, desirable or proper for putting the Scheme into effect, including entering into the transitional arrangements, arrangements for carrying out or performing all such formalities or compliances as may be deemed proper and necessary for effecting transfer and vesting of the properties of the Demerged Undertaking and deciding any question that may arise as to whether whole or part of specific asset or liabilities pertain or does not pertain or arises out of the activities or operations of any such undertaking or whether a specific employee is or is not substantially engaged in relation to the Demerged Undertaking.

18.2 The Demerged Company and the Resulting Company by their respective Board are authorized to take all such steps as may be necessary, desirable or proper to resolve any doubts, difficulties or questions whatsoever for carrying the Scheme into effect, or if considered necessary, for withdrawal of the Scheme, whether by reason of any directive or order of any other authorities or due to any business/ commercial reason as may be decided by the Board or otherwise howsoever, arising out of or under or by virtue of the Scheme and/or any matter concerned or connected therewith.

18.3 For matters not specifically addressed in the Scheme relating to accounting, the Board of Directors of the Demerged Company/Resulting Company is authorized to account for the balances in their respective books of accounts in the manner, as may be deemed fit, in accordance with the prescribed Accounting Standards issued by the Central Government as may be amended from time to time and the Generally Accepted Accounting Principles in India in consultation with the Auditors.

**19. SCHEME CONDITIONAL ON APPROVAL / SANCTIONS**

19.1 This Scheme is and shall be conditional upon and subject to:

a) The Scheme being approved by the requisite majority in number and value of the various class of shareholders and/or creditors (where applicable) of the Demerged Company and the Resulting Company respectively, as required under the Act and as may be directed by the NCLT.

b) The Scheme being sanctioned by the NCLT or any other statutory or regulatory authority including but not limited to stock exchange(s) and/or Securities and Exchange Board of India, which by law may be necessary for the implementation of this Scheme;

c) Certified copies of the orders of the NCLT sanctioning the Scheme being filed with the concerned Registrar of Companies, by the Demerged Company and the Resulting Company respectively.

**20. EFFECT OF NON RECIEPT OF APPROVALS**

20.1 In the event that the scheme is not sanctioned by the NCLT or in the event any of the other requisite consents, approvals, permissions, sanctions or conditions are not obtained or complied with or for any other reason, the scheme cannot be implemented, the scheme shall not take effect and shall be withdrawn and in that event no rights or liabilities, whatsoever, shall accrue to or be incurred inter se by the parties or their shareholders or creditors or employees or any other person.

**21. DIVIDENDS**

21.1 The Demerged Company and the Resulting Company shall be entitled to declare and make a distribution/pay dividends, whether interim or final, and/or issue bonus shares, to their respective members/shareholders prior to the Effective Date in accordance with Applicable Laws.

21.2 It is clarified that the aforesaid provisions in respect of making distributions, declaring dividends or issuing bonus shares are enabling provisions only and shall not be deemed to confer any right on any members of the Companies to demand or claim any distributions, dividends or bonus shares which, subject to the provisions of the said Act, shall be entirely at the discretion of the Board of Directors of the Companies, subject to the approval of the shareholders, as may be required.

**22. COMPLIANCE WITH APPLICABLE LAWS**

22.1 The Companies undertake to comply with all Applicable Laws (including all applicable compliances required by the SEBI and the Stock Exchanges and all applicable compliances required under the Foreign Exchange Management Act, 1999, Overseas Direct Investment Regulations and the rules regulations and guidelines issued thereunder as may be prescribed by the RBI, from time to time) including making the requisite intimations and disclosures to any statutory or regulatory authority and obtaining the requisite consent, approval or permission of the Central Government, RBI (if required) or any other statutory or regulatory authority, which by law may be required for the implementation of this Scheme or which by law may be required in relation to any matters connected with this Scheme

**23. COSTS**

23.1 All costs, charges, taxes including duties, levies and all other expenses, if any (save as expressly otherwise agreed) of the Demerged Company and the Resulting Company arising out of or incurred in connection with and implementing this Scheme and matters incidental thereto shall be borne by the Demerged Company.

—x—

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

GHCL LIMITED NOIDA

GHCL TEXTILES LIMITED

List of Assets of the De-merged Undertaking viz. Spinning Division of GHCL Limited as on 30th November 2022, to be transferred to GHCL Textiles Limited, pursuant to the scheme being sanctioned by the Hon'ble National Company Law Tribunal, Bench at Ahmedabad.

Schedule

Part I

Particulars of Freehold Properties

(i) Land: As per list attached as **Annexure 1**

(ii) Building: As per list attached as **Annexure 2**

(iii) Plant and Machinery: (if any, imbedded or attached to earth) Fixed Asset Register enclosed as **Annexure 3**

Part II

Particulars of Leasehold Properties - Nil

(i) Land: Nil

(ii) Building: Nil

(iii) Plant and Machinery: Nil.

If there is no such leasehold property, mention Nil.

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

GHCL LIMITED NOIDA

B- 38, GHCL House, Institutional Area, Sector- 1, Noida, (U.P.) - 201301, India. Ph. : +91-120-2535335, 4939900, Fax : +91-120-2535209
CIN : L24100GJ1983PLC006513, E-mail : ghclinfo@ghcl.co.in , Website : www.ghcl.co.in

Regd. Office : GHCL House, Opp. Punjabi Hall, Near Navrangpura Bus Stand, Navrangpura, Ahmedabad, Gujarat - 380009, India

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Part III

A. Particulars of Investment in Shares & Securities :

| Investment Details | No. of Shares held | Amount (Rs.) |
|---|---|---|
| D M SOLAR FARM P LTD | 5,200 | 52,000 |
| TCP LIMITED | 100 | 39,430 |
| SSMT POWER PRIVATE LIMITED | 12,00,000 | 1,20,00,000 |
| PUVANESHWARI ENTERPRISES | 950 | 9,500 |
| SAROJARAJAN GREEN POWER ENERGY | 950 | 9,500 |
| AFCM WIND FARMS PRIVATE LIMITED | 970 | 9,700 |
| AJSM GREEN ENERGY PRIVATE LIMITED | 970 | 9,700 |
| APGL GREEN ENERGY P LTD | 780 | 7,800 |
| JAICHANDER WIND FARMS P LTD | 780 | 7,800 |
| SUSHMITHA TITIKSHA GREEN ENERGY PRIVATE LIMITED | 780 | 7,800 |
| PREMCHANDER WIND FIRMS | 2,440 | 24,400 |
| PREMCHANDER GREEN ENERGY | 2,440 | 24,400 |
| JAYANTHI WIND FIRMS | 2,440 | 24,400 |
| JAYANTHI GREEN ENERGY | 2,440 | 24,400 |
| VAAYU RENEWABLE ENERGY (MANDVI) PVT. LTD. | 2,600 | 26,000 |
| **Total** | **12,23,840** | **1,22,76,830** |

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

GHCL LTD. GHCL NOIDA

B. Particulars of Bank Accounts:

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| Sr. No. | Bank & Branch | Type of Account | Account No. |
|---|---|---|---|
| 1 | IDBI Bank, Madurai | CC Account | 044655100000134 |
| 2 | HDFC Bank, Madurai | CC Account | 57500000740212 |
| 3 | SBI, Madurai | CC Account | 65053481892 |
| 4 | SBI, Manaparai | CURRENT Account | 11270200667 |

C. Registration with Various Authorities under respective laws, Bodies etc. including licences and benefits arising out of the notifications :

| Name of Authority | Nature of Registration | Registration Number |
|---|---|---|
| GST | | 33AAACG5609C2Z5 |
| EXCISE & CUSTOMS | DGFT IE CODE NO. | 0588091529 |
| REGISTRAR OF COMPANY'S CIN NO. | | L24100GJ1983PLC006513 |
| PF REGISTRATION NO. | | MDMDU0000995000<br>CBTRY0000155000 |
| ESI REGISTRATION | | 57000050420000101<br>63000046080000101 |
| FACTORY LICENCE NO. | | MDU00761<br>TPL000448 |
| PROFESSIONAL TAX REGISTRATION NO. | | |
| LIC GROUP GRATUITY POLICY NO. | | |
| Electric Connections | | HT SC NO:248<br>HT SC NO:3<br>HT SC NO:194 |

D. VEHICLES : (IF ANY) List enclosed as **Annexure 4**

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

**For GHCL Limited**

**Bhuwneshwar Mishra**
**Sr. GM – Sustainability & Company Secretary**

GHCL LIMITED GHCL NOIDA

GHCL Limited - Yarn Division -Land details

Annexure - 1

| 1. Madakulam Village , Madurai | Extent in Acres | | Survey Nos | New SF No | Village | District |
|---|---|---|---|---|---|---|
| HSS school | 0.54 | | 20/B16 | No change | Madakulam | Madurai |
| | 0.41 | | 20/B15 | No change | Madakulam | Madurai |
| Elementary school | 0.20 | | 20/B3 | No change | Madakulam | Madurai |
| Vasantha Nagar -Old Colony | 0.06 | | 20/B3 | No change | Madakulam | Madurai |
| Vacant land | 0.07 | | 20/B3 | No change | Madakulam | Madurai |
| | | 1.28 | | | | |
| | | | | | | |
| **2.Pasumalai Thiagarajar colony thirupparankundram** | | | | | | |
| Colony Road/OSR Land | 4.90 | | 41,42,43,45,47, | No change | Pasumalai | Madurai |
| Vacant land | 0.45 | | 41,42,43,45,47, | No change | Pasumalai | Madurai |
| School | 1.19 | | 41/2A1B | No change | Pasumalai | Madurai |
| Pasumalai Colony houses | 0.75 | | 41,42,43,45,47, | No change | Pasumalai | Madurai |
| Vacant land | 0.45 | | 41,42,43,45,47, | No change | Pasumalai | Madurai |
| | | 7.74 | | | | |
| **3. Paravai Village ( I and II bit)** | | | | | | |
| Factory land | 52.5 | | 278,279,282 & 283 | 53,54,57& 58 | Paravai | Madurai |
| Vacant land -Behind Mill | 0.50 | | 115 | 31 | Paravai | Madurai |
| Vacant land at Paravai Colony | 0.75 | | 200 & 201 | 90 & 91 | Paravai | Madurai |
| school and other vacant land | 1.00 | | 200 | 90 | Paravai | Madurai |
| Paravai Colony houses | 1.68 | | 200 & 201 | 90 & 91 | Paravai | Madurai |
| Vacant Land near Sathiyamurthy Nagar | 2.10 | | 268/5 | 43/5 | Paravai | Madurai |
| Vacant land opp to Mill | 13.9 | | 246,247,248, | 108,109 & 111 | Paravai | Madurai |
| | | 72.43 | | | | |
| **4. Vikaramangalam** | | | | | | |
| Vacant land | 3.74 | 3.74 | 197,198 & 200 | No change | Vikramangalam | Tirunelveli |
| **5.Tenkasi District** | | | | | | |
| Vacant land -Ayeriperi | 1.44 | | 259 | No change | Ayerperi | Tenkasi |
| Vacant land -Melegaram | 1.65 | 3.09 | 541& 542 | No change | Melegaram | Tenkasi |
| **6.MelaAmbasamudram** | | | | | | |
| Vacant land | 14.4 | 14.40 | 508,509,510 & 511 | No change | Mela Ambasamud | Tirunelveli |
| **7. Kodai konal land** | | | | | | |
| Bungalow land | 0.15 | | 98 | No change | Kodaikanal | Dindigal |
| Vacant land | 9.31 | | 98 | No change | Kodaikanal | Dindigal |
| | | 9.46 | | | | |
| **9. Manaparai** | | | | | | |
| Mill area | 79.23 | | 66,68,70,71,72,73 | No change | Usilampatti | Trichi |
| School | 13.32 | | 63,64,65 | No change | Usilampatti | Trichi |
| Colony houses | 7.00 | | 2,3,4,5 | No change | Usilampatti | Trichi |
| Vacant land | 45.00 | | 15,16,17,24,25,26,30/ | No change | Usilampatti | Trichi |
| Vacant land | 58.55 | | 751.752, 753,755,749,750,747,7 46,763 & 764 | No change | Sevalur | Trichi |
| | | 203.10 | | | | |
| **TOTAL** | 315.24 | 315.24 | | | | |
| | | | | | | |
| **ENERGY DIVISION** | | | | | | |
| Musiri -Solar plant -Phase 1 & 2 | 68.19 | | 327 , 328 , 332 | No change | Devanur | Trichi |
| Wind power - Sankaneri | 12.00 | | 1073,1080,1110,1111, 1113,1114 | No change | Erukkandural | Tirunelveli |
| Wind power - Dharapuram | 12.00 | | 545,590,600,982 | No change | Chinnaputhur | Tirupur |
| Wind power - Kayathar | 12.0 | | 122, 124,239,666 | No change | Thirumangakurich | Tirunelvi |
| | 9.2 | | 191, 192,162 | No change | Thadiyampatti | Tirunelvi |
| | 3.0 | | 151,152 | No change | Karisalkulam | Tirunelvi |
| Ottapidaram -Solar plant as on 16/12/2022 | 25.7 | 142.09 | 74,70,77,279,282 | No change | Ottapidaram | Tuticorin |
| | | | | | | |
| **TOTAL** | 457.33 | 457.33 | | | | |

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

GHCL LIMITED GHCL NOIDA

**GHCL Limited - Spinning / Yarn Division - Building Details** **Annexure - 2**

**BUILT-UP AREA**

| PARAVAI | Sq.Mtr | SF No | New SF |
|---|---|---|---|
| Cotton Godown | 9181.5 | 280,276 & 283 | 55,52, 58 |
| Head office | 761.4 | 282 | 57 |
| Maligai Unit | 10838.66 | 280 | 55 |
| Open end Unit | 5585.35 | 282 | 57 |
| Others | 9160.73 | 276,278,279,281,282 | 52,53,54,56,57 |
| Paravai Unit | 20112.72 | 279,280 & 283 | 54,55,58 |
| Power house/EHT -Paravai | 1710.79 | 283,276 | 58,52 |
| TFO Unit | 4341.36 | 278 | 53 |
| Vaigai (inc.Power house)Unit | 25997.47 | 281 & 276 | 56 & 52 |
| **TOTAL** | **87689.98** | | |
| | | | |
| **MANAPARAI** | | | |
| Manparai factory building | 26199.24 | 68,69,70,71 | |
| Yarn godown | 1702.97 | 72 | |
| New Yarn godown | 878.05 | 71& 72 | |
| Kaveri Unit | 10322.28 | 68 | |
| Karthigai Unit | 29928.65 | 71 & 72 | |
| Others | 2570.011 | 68,69,70,73,, | |
| Vortex Unit | 5346.42 | 73 | |
| **TOTAL** | **76947.621** | | |
| | | | |
| **Musiri Solar plant** | **111.52** | 327 & 328 | |

GHCL LIMITED NOIDA

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

GHCL Limited - Spinning / Yarn Division - Plant & Machinery Details Annexure - 3

| Machines embedded to earth | Location | District | Number of Machines | Capacity |
|---|---|---|---|---|
| Wind mill 1 | Erukkandurai | Tirunelveli | 6 | 3.60 MW |
| Wind mill 2 | Chinnaputhur | Tirupur | 6 | 4.8 MW |
| Wind mill 3 | Kayathar | Toothukkudi | 8 | 16.8 MW |
| Solar 1 | Devanur | Trichy | | 7.5 MW (10MWp) |
| Solar 2 | Devanur | Trichy | | 7.5 MW (10MWp) |
| Solar 3 -Ongoing project | Ottapidaram | Toothukkudi | | 7.5 MW (10MWp) |
| Humidification plant | Paravai, Manaparai | Madurai, Tiruchirappalli | 40 | |

**The machineries are installed at the above location . There is no specific address for the above plants.**

## Address for communication for all the Machieneries

***Paravai***
***Samayanallur Post,***
***Madurai - Dindigul main road***
***Madurai - 625402***

GHCL LIMITED NOIDA

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD

## GHCL Limited - Spinning / Yarn Division - Vehicle Details

Annexure - 4

| Asset Code | Assets Name | Date of Purchase | Sum of Cost as on 30/11/2022 (In Rs:) | Sum of WDV as on 30/11/2022 (In Rs:) |
|---|---|---|---|---|
| PV10 | HONDA TWO WHEELER-TN59 BK1952 | 01-04-2013 | 69,407.00 | 694.07 |
| PV12 | ASHOKLEYLAND ECOMET-TN59BH3048 | 01-04-2015 | 17,58,359.00 | 17,583.59 |
| PV13 | HONDA TWO WHEELER-TN59 BL7789 | 01-04-2016 | 57,449.00 | 3,386.00 |
| PV14 | HERO HONDA SPLNDER PLUS TWO WHEELER | 01-04-2016 | 58,059.00 | 11,162.00 |
| PV19 | MARUTI SWIFT DEZIRE ZDI CAR-TN59 CA9848 | 29-09-2018 | 8,21,537.00 | 3,97,329.00 |
| PV20 | AMPERE TRISUL VEHICLE BATTERY SCOOTER | 22-03-2019 | 3,76,314.00 | 2,03,470.00 |
| PV21 | HYUNDAI CRETA CAR TN59 CC7600 | 21-05-2019 | 18,68,618.00 | 10,51,902.00 |
| PV22 | TOYOTA LIVA VD68PS-1364CC-TN59 CE0142 | 10-09-2019 | 7,98,019.00 | 4,79,319.00 |
| PV23 | HERO SPLENDOR PLUS IBS BIKE | 07-02-2020 | 59,822.00 | 43,145.00 |
| PV24 | TRAX CRUISER 12+D A/C BS6 ABS VEHICLE | 25-06-2021 | 13,62,037.00 | 11,19,964.00 |
| MV07TRFRIN | OLD CURISERTN59 AT2130-TRFR FROM PARAVAI | 28-06-2021 | 6,24,000.00 | 6,240.00 |
| | **TOTAL** | | **78,53,621.00** | **33,34,194.66** |

GHCL LIMITED NOIDA

NATIONAL COMPANY LAW TRIBUNAL AHMEDABAD